

FIFTH SUPPLEMENT DATED 17 JUNE 2011 TO THE PROSPECTUS DATED 3 NOVEMBER 2010

BANCO ESPÍRITO SANTO, S.A.

*(incorporated with limited liability in Portugal)
(acting through its head office or its Madeira Free Trade Zone branch
or its Cayman Islands branch or its London branch)*

and

BES Finance Ltd.

(incorporated with limited liability in the Cayman Islands)

unconditionally and irrevocably guaranteed by

BANCO ESPÍRITO SANTO, S.A.

*(incorporated with limited liability in Portugal)
(acting through its London branch)*

€20,000,000,000 Euro Medium Term Note Programme

This Supplement (the "**Supplement**") to the Prospectus (the "**Prospectus**") dated 3 November 2010 (as supplemented by supplements dated 15 November 2010, 3 March 2011, 19 April 2011 and 6 June 2011) constitutes a supplement to the base prospectus for the purposes of article 13 of Part II of the Luxembourg Act dated 10 July 2005 relating to prospectuses for securities (the "**Prospectus Act**") and is prepared in connection with the €20,000,000,000 Euro Medium Term Note Programme (the "**Programme**") established by Banco Espírito Santo, S.A. (the "**Bank**" or "**BES**") and BES Finance Ltd. ("**BES Finance**"). Terms defined in the Prospectus have the same meaning when used in this Supplement.

This Supplement is supplemental to, and should be read in conjunction with, the Prospectus issued by the Bank and BES Finance.

The purpose of this Supplement is: (a) to provide information regarding certain recent developments.

Each of the Bank and BES Finance accepts responsibility for the information contained in this Supplement. To the best of the knowledge of each of the Bank and BES Finance (who have taken all reasonable care to ensure that such is the case) the information contained in this Supplement is in accordance with the facts and does not omit anything likely to affect the import of such information.

1. Recent Developments

1.1 Banco Espírito Santo informs about the resolutions of the extraordinary general meeting

On 9 June 2011, BES informed about the following resolutions of the Shareholders' General Meeting held on the same day:

Item One - approval of the partial amendment of the articles of association, namely the amendment of Article 4 as follows:

Article 4.º Share Capital

1. The company's share capital is fully paid up and is 3,499,999,998.00 and it is represented by 1.166.666.666 shares with no par value.

2. The Board of Directors is authorized, upon favourable opinion of the Audit Committee, to increase the share capital, one or more times, through the issuance of ordinary shares or preferential shares, redeemable or nonredeemable, under the terms and conditions to be defined.

3. The maximum amount authorized, in addition to the share capital amount, is of €5.000.000.000,00, being this authorization valid for a period of five years.

Item Two - approval on the suppression of shareholders' pre-emption rights, in case the Board of Directors resolves on a capital increase, under the terms of Article 4 (2) of the Company's Articles of Association.

The purpose of this resolution is to fulfil legal provisions following the request by Banco Espirito Santo of a personal guarantee of the Portuguese State, under the terms of Law no. 60-A/2008, of 20 October, and Portaria no. 1219-A/2008, of 23 October, as amended by Portaria no. 946/2010, of 22 September, for a financing operation through the issuance of non subordinated bonds up to the amount of € 1,250,000,000 with a maturity of three years, if that guarantee were to be executed.

Item Three - ratification of the co-optation, on May 2nd 2011, of Mr. Vincent Pacaud as a member of the Board of Directors.

1.2 Moody's places Portuguese banks' standalone ratings on review for downgrade

On 9 June, 2011 Moody's placed Portuguese banks' standalone ratings on review, including Banco Espirito Santo standalone credit strength D+ and long term rating Baa2, for possible downgrade.

Copies of this Supplement can be obtained from the registered office of the Bank and of BES Finance and from the specified office of the Paying Agent for the time being in Luxembourg.

In addition, copies of this Supplement are available for viewing at the Luxembourg Stock Exchange's website (www.bourse.lu).

To the extent that there is any inconsistency between (a) any statement in this Supplement or any statement incorporated by reference into the Prospectus by this Supplement and (b) any other statement in or incorporated by reference in the Prospectus, the statements in (a) above will prevail.

Save as disclosed in this Supplement, there has been no significant change in the financial or trading position of the Bank and the Group since 31 March 2011.

Save as disclosed in this Supplement, there has been no significant change in the financial or trading position of BES Finance since 31 December 2010.

There has been no material adverse change in the prospects of BES Finance, of the Bank or the Group since 31 December, 2010.

Save as disclosed in this Supplement and any other supplements to the Prospectus, there has been no significant new factor, material mistake or inaccuracy relating to information included in the Prospectus since the publication of the Prospectus.

In accordance with article 13 paragraph 2 of Part II of the Prospectus Act, investors who, before this supplement is published, have already agreed to purchase or subscribe for any Notes to be issued under the

Programme, have the right, exercisable within a time limit of two working days after the publication of this supplement, to withdraw their acceptances.

Dated 17 June 2011